Grasim Industries Ltd (GRASIM)

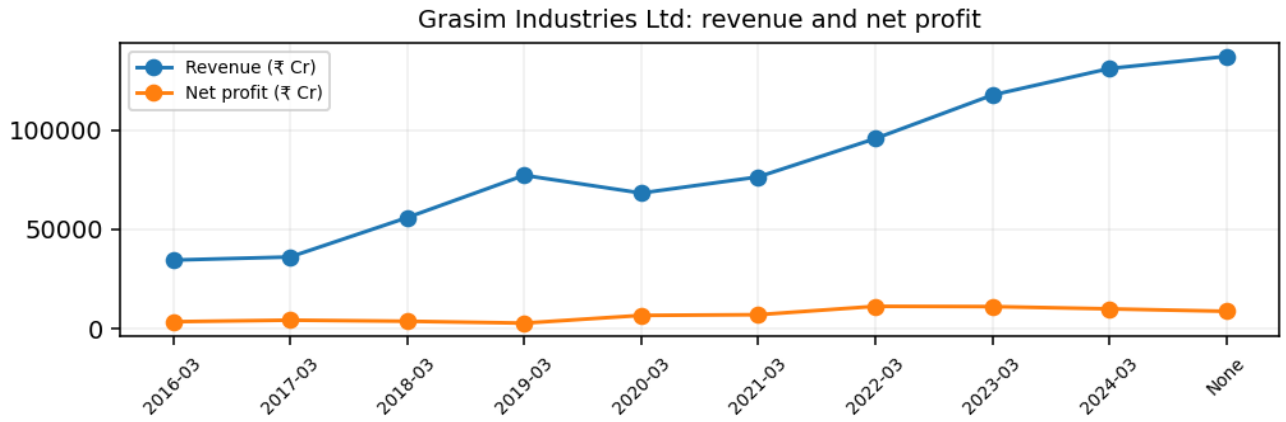
Sector: Industrials | Financial year: 2024-03 | Market snapshot: 2024-03

Investment profile — data-led summary

Grasim Industries Limited is the flagship company of the Aditya Birla group, it ranks amongst India's largest private sector companies. On standalone basis, GIL's core businesses comprise of viscose Staple fibre (VSF), caustic soda, speciality chemicals, rayon-grade wood pulp (RGWP) with plants at multiple locations. It also has certain other businesses such as fertiliser, textile

Metric	Latest value	Metric	Latest value
ROE	11.20%	ROCE	9.83%
Debt/equity	1.55	Free cash flow (■ Cr)	-33,833.00
P/E	79.35	P/B	5.68
Market cap (■ Cr)	478,951.82	Dividend yield	0.98%

Revenue and earnings history (up to 10 supplied annual observations)



All figures reflect the supplied source dataset. This report is informational and is not a recommendation to buy or sell securities.

Grasim Industries Ltd — Financial Quality & Risk Review

Strength indicators

Rule	Evidence	Confidence
PAT CAGR 5Y >= 10%	Profit has compounded at least 10% annually over five years in the available statement history.	95%
Positive operating margin	The latest annual period reports a positive operating margin.	91%
Revenue CAGR 5Y >= 10%	Revenue has compounded at least 10% annually over five years in the available statement history.	81%
Interest coverage >= 3x	Reported interest coverage indicates capacity to meet finance costs.	73%

Risk indicators

Rule	Evidence	Confidence
Negative free cash flow	The latest annual period reports negative free cash flow.	95%
FCF conversion < 0	Free-cash-flow conversion is negative in the latest annual ratio record.	95%
Debt/equity > 1	Debt exceeds equity on the reported debt/equity measure.	72%
CFO/PAT < 0.5	Operating cash flow is weak relative to reported profit.	71%

Selected annual financial history

Year	Sales (■ Cr)	Net profit (■ Cr)	EPS	OPM %
2019-03	77200	2745	25.00	22.00
2020-03	68252	6639	65.00	15.00
2021-03	76404	6987	63.00	24.00
2022-03	95701	11206	111.00	21.00
2023-03	117627	11078	100.00	18.00
2024-03	130978	9926	85.00	21.00
None	137116	8693	67.00	20.00